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Recycling with the Best

Weekly Ship Recycling Report

14 October 2023 - 20 October 2023

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Highlights of the Week

This week, the ship recycling stance showed a lack of momentum in the Indian market, resulting in a halt in activity. However, there is a continued interest in purchasing. Conversely, the market in Bangladesh had a modest improvement, but with lingering softness, while the issue of LC problems intensified significantly. The Gadani market exhibits a degree of unpredictability due to swings in currency exchange rates, as well as the occurrence of certain LC issues. Turkey has remained mostly the same, with consistent import levels, while there has been a minor decrease in local pricing.

Concerns about China's deteriorating real estate market and weaker-than-anticipated steel production weighed on iron ore futures, which declined. A recent wave of policy measures appears to be bolstering a tentative recovery, as evidenced by the fact that China's economy expanded at a faster-than-anticipated rate in the third quarter, with industrial and consumption activity exhibiting particular strength in September. Despite the implementation of several government stimulus measures aimed at stimulating activity in the property market, which accounts for 25% of the country's gross domestic product, there are currently limited indications of a short-term recovery. Contrary to market anticipations for an increase subsequent to steelmakers' increasing utilization rates during the prime construction season, China's crude steel output declined by 5% in September compared to August.

The ongoing conflict between Israel and Hamas will have numerous repercussions; if we examine the energy industry, we can anticipate one outcome from these two possibilities. The initial situation for the worldwide economy is if the conflict is confined to an Israeli ground offensive on the Gaza Strip. Under such conditions, the price of a barrel of oil would stabilize at approximately its current level of $93 (£76) and could begin to decline shortly thereafter. According to the IMF, a sustained 10% increase in oil prices reduces global economic growth by 0.15 percentage points and increases inflation by 0.4 percentage points the following year. A barrel of petroleum is currently priced approximately 10% higher on global commodity markets than it was prior to the Hamas attack. The second scenario entails a more extensive regional dispute, commencing with hostilities along Israel's northern border against Hezbollah forces backed by Iran in Lebanon, but ultimately entailing Iran in the conflict as well. The presence of United States carrier groups in the eastern Mediterranean indicates that Washington is preparing for this eventuality.

Exchange Rates:

USD / INR ₹

This Week	: 83.11
Previous Week	: 83.26
Gained	: 0.15

USD / BDT ৳

This Week	: 110.23
Previous Week	: 110.66
Gained	: 0.43

USD / PKR Rs

This Week	: 278.77
Previous Week	: 277.45
Lost	: 1.32

USD / TRY ₺

This Week	: 28.00
Previous Week	: 27.80
Lost	: 0.20

India

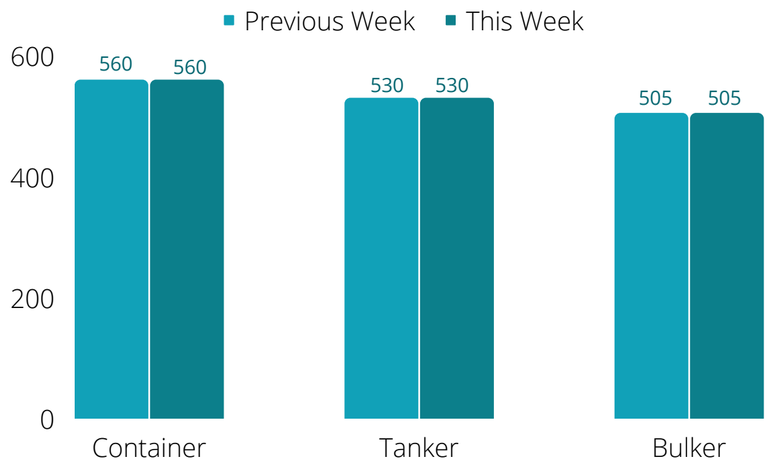
The market has not seen a significant upturn and is expected to remain in this state for a while.

- The current market conditions have shown a lack of momentum and a slowdown in activity. However, there remains a degree of purchasing interest from end buyers in various vessel types, including bulkers, containers, and tankers.
- The current state of the local market exhibits a sluggish pace.
- It is our view that the market will persist inside this range for a while to come.
- In the year 2024, there is anticipated to be a notable influx of multiple vessels, leading to a projected increase in demand during the mid to late period of that year.
- India is expected to see a higher rate of economic development in the next years, resulting in a 2 percentage point increase in its contribution to global economic growth over a span of 5 years according to the International Monetary Fund.

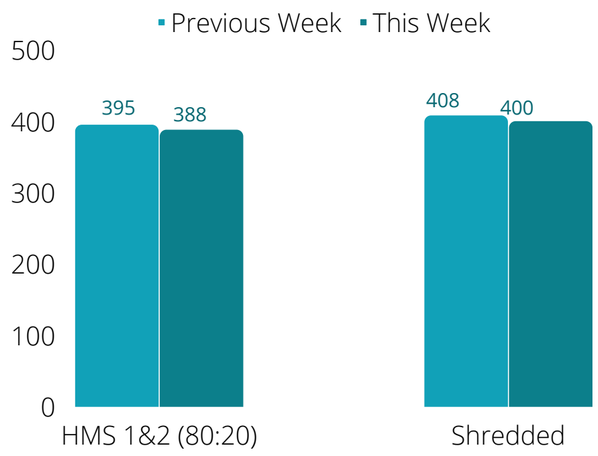
Beaching Dates

26 October to 3 November 2023
12 November to 19 November 2023
25 November to 30 November 2023

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

A moderate uptick is accompanied by some purchasing intent in this market.

- Local markets have improved marginally, and there is some interest in purchasing vessels ranging from 7,000 to 10,000 tons.
- LC continues to be a significant problem here, and its severity is growing daily due to the unfavorable foreign exchange situation.
- Additionally, elections are rapidly approaching; therefore, this market must be scrutinized extremely carefully; sellers should only enter it if they have substantial confidence in the performance of the buyers.
- Bangladesh has just reached a preliminary agreement with the International Monetary Fund, which has the potential to facilitate the disbursement of $681 million from a loan package totaling $4.7 billion, contingent on the approval of the IMF board. An agreement was reached at the staff level about the essential policies to be implemented for the first assessment of the loan program.

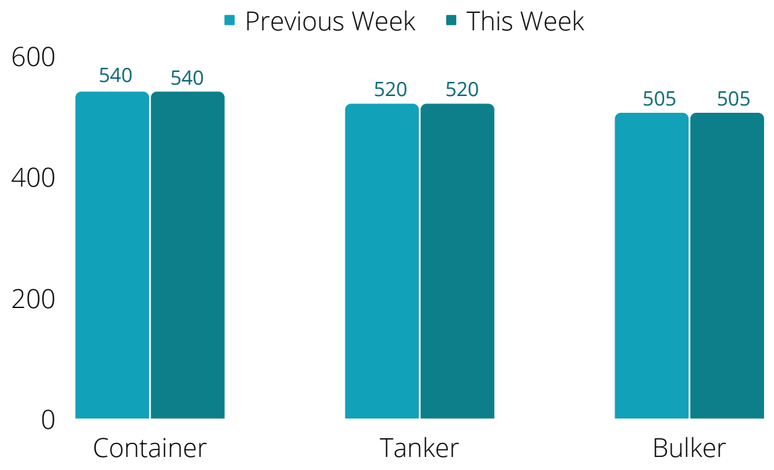
Beaching Dates

12 November to 15 November 2023

25 November to 28 November 2023

12 December to 15 December 2023

Price for Recycling Ships in Bangladesh



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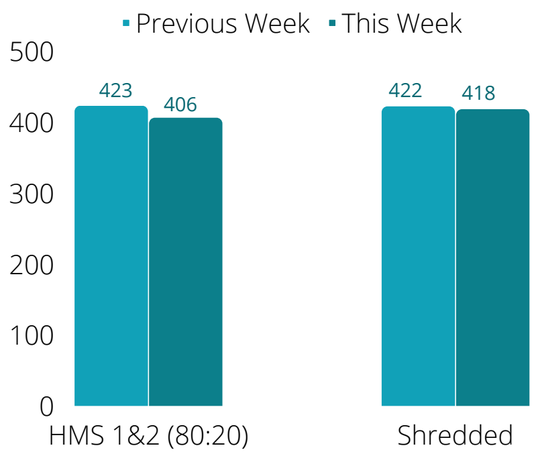


Pakistan

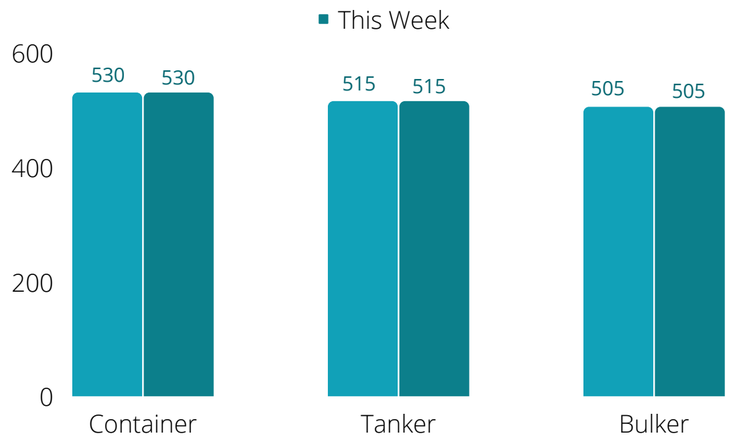
The local market continues to be ambiguous, a cautious stance is adopted.

- The current state of the market remains very unpredictable, with no recorded sales activity seen in Gadani as recyclers adopt a cautious approach to monitoring the situation.
- The purchasing interest remains, but there are issues with opening LCs.
- The PKR unexpectedly fell more than 3.5 in a single day against the dollar on Wednesday, but it reversed its losses today. It appeared that buyers would return to the market yesterday, but that is no longer the case today.
- Recyclers are interested in tonnage, albeit at reduced levels.
- The Ministry of Foreign Affairs of China has expressed its willingness to enhance cooperation and foster solidarity with Pakistan. However, it has also emphasized the importance of ensuring the safety of Chinese organizations and personnel operating within Pakistan.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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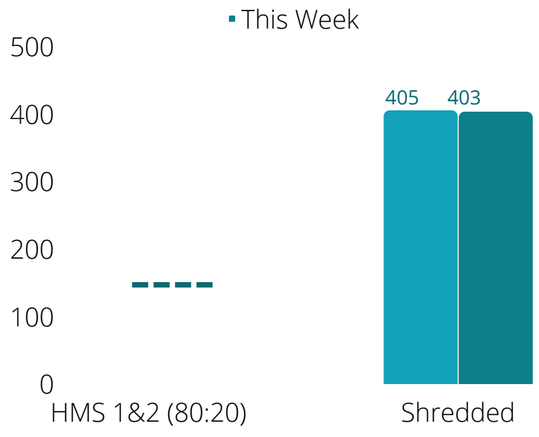


Türkiye

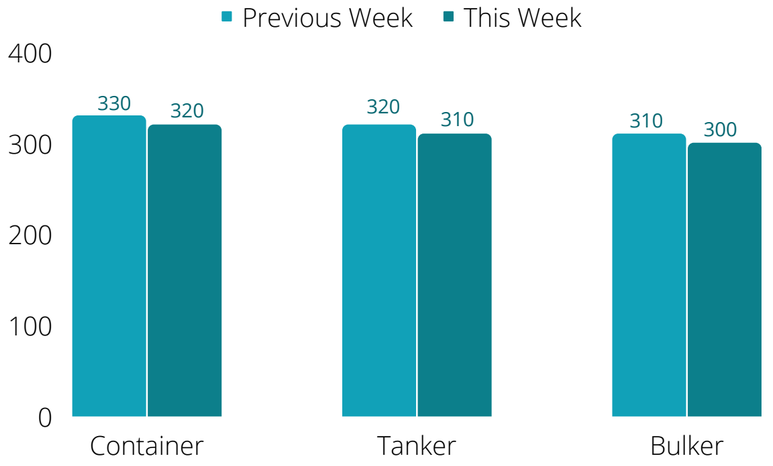
The market has maintained its previous trajectory without any significant changes.

- This region currently has a stable import market, however, there has been a decrease of approximately 10 USD in local prices over the course of this week.
- The Turkish government is actively pursuing measures to mitigate and curtail the prevailing inflationary pressures within the country. The objective is to achieve a sustained reduction in inflation rates to single-digit figures, with a specific target of 4.7 percent by the conclusion of 2028.
- The total export of hot rolled coil from Turkey experienced a significant increase of 60.2% in August compared to the previous month, and a year-on-year growth of 8%., according to the most recent data released by the Turkish Statistical Institute.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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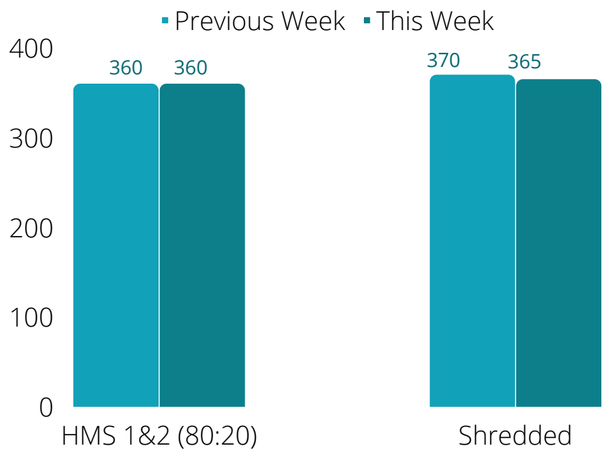
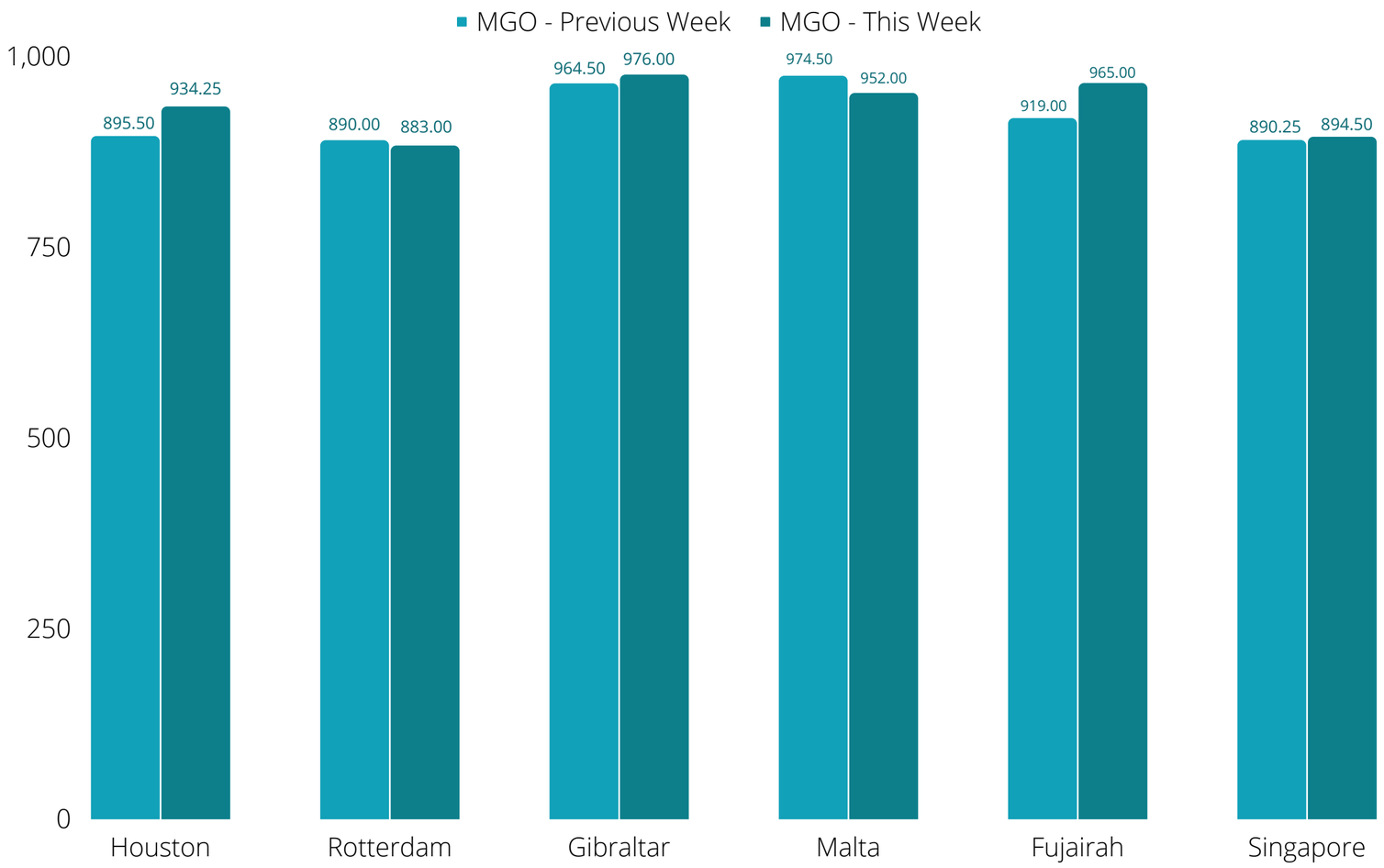


Bunker Prices at Port



Brent Crude

This Week	: 93.03
Previous Week	: 88.49
Movement	: +4.54

WTI Crude

This Week	: 90.18
Previous Week	: 85.36
Movement	: +4.82

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
MSC LEVINA	CONTAINER	8608200	2005	SOUTH KOREA	12,857	DELIVERED	ALANG, INDIA (HKC RECYCLING)	565(INCLUDES 400MT BUNKERS ROB)
NANTA 7	CONTAINER	8813659	1990	SOUTH KOREA	5,095	DELIVERED	ALANG, INDIA	UNDISCLOSED
LELYSTAD	DREDGER	8507391	1986	NETHERLANDS	8,375	DELIVERED	ALIAGA, TURKEY	UNDISCLOSED
MING ZHOU 25	BULKER	8921420	1990	JAPAN	6,729	AS-IS	ZHOUSHAN, CHINA	540
KEMP II/ LOGGERHEAD	TANKER	8320810	1984	JAPAN	1,000	DELIVERED	CHITTAGONG, BANGLADESH	460
KING MAKER	SEMI SUB	8753378	1973	USA	8,800	AS-IS	CAMPOS, BRAZIL	UNDISCLOSED

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